UniCredit S.p.A. Regulatory Compliance & Corporate Governance Framework

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Effective Date: January 1, 2026
Applicability: Group-wide (All Subsidiaries and Legal Entities)
Supervisory Status: Significant Institution (SI) under direct ECB Single Supervisory Mechanism (SSM)

1. Regulatory Context & Supervisory Authority

UniCredit S.p.A. qualifies as a bank of large size and operational complexity. It operates under a dense matrix of domestic and European prudential regulations.

- **Primary Supervisor:** European Central Bank (ECB) via the Single Supervisory Mechanism (SSM).
- **National Competent Authority:** Bank of Italy (Banca d'Italia), subject to **Circular no. 285/2013** (Supervisory Regulations for Banks).
- **Market Regulators:** CONSOB (Italy), BaFin (Germany, regarding major cross-border operations), and KNF (Poland).

2. The One-Tier Corporate Governance Model

UniCredit transitioned from a traditional governance framework to a **One-Tier Management and Control System**. This integration eliminates the separate Board of Statutory Auditors, housing control functions directly within the primary administrative body to maximize real-time oversight.

None

[redacted]

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                   ┌──────────────────────────────────────────┐
                    │           Shareholders' Meeting          │
                    └────────────────────┬─────────────────────┘
                                         │ Elects
                    ┌────────────────────▼─────────────────────┐
                    │            Board of Directors            │
                    │   (Strategic Supervision & Management)   │
                    └───────────┬────────────────────┬─────────┘
                                │                    │
        Establishes within      │                    │ Appoints &
Oversees
                                ▼                    ▼
                    ┌────────────────────┐  ┌────────────────────┐
                    │  Audit Committee   │  │  Chief Executive   │
                    │ (Control Function) │  │   Officer (CEO)    │
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[redacted]

Board Composition & Committees

The Board of Directors consists of 9 to 24 members serving 3-year terms, appointed via a slate-voting mechanism (*voto di lista*) to guarantee minority representation and strict gender balance.

The Board is structurally supported by five specialized technical committees established under Bank of Italy Circular 285:

- **Audit Committee:** Built directly within the one-tier structure to perform core internal control functions.
- **Internal Controls & Risks Committee:** Monitors risk appetite thresholds and operational frameworks.
- **Remuneration Committee:** Formulates sound incentive structures preventing conflict of interest.
- **Corporate Governance, HR, and Nomination Committee:** Manages qualitative and quantitative board composition.
- **Related-Parties Committee:** Evaluates asset exposure and equity transactions with connected entities.

3. Prudential Capital Requirements & Risk Architecture

UniCredit operates under the revised European Capital Requirements Regulation and Directive (CRR2 / CRDV) framework.

The Three Pillars of Basel Accord Compliance

Pillar	Regulatory Mandate	UniCredit Execution Strategy
Pillar I	Minimum Capital Requirements	Standardized and Advanced Internal Ratings-Based (IRB) models to calculate Credit, Market, and Operational Risk weights.

Pillar II	Supervisory Review (SREP)	Annual internal validation via the **ICAAP** (Internal Capital Adequacy Assessment Process) and **ILAAP** (Internal Liquidity Adequacy Assessment Process).
Pillar III	Public Disclosure	Quarterly market transparency reports published in accordance with Article 433a of the CRR2, detailing capital ratios and risk metrics.

Systemic Risk Designation: As of January 1, 2024, UniCredit migrated from Global Systemically Important Bank (G-SIB) status to Other Systemically Important Institution (**O-SII**) status, adjusting its structural buffers while maintaining alternative prudential own-funds controls under Article 92(a) exemptions.

4. Financial Crime Compliance & Market Integrity

Anti-Money Laundering (AML) & Counter-Terrorist Financing (CTF)

The Group Compliance function mandates an ongoing, risk-based Know-Your-Customer (KYC) cycle. Transactions across all jurisdictions are benchmarked against automated screening systems synchronized with EU, OFAC, and UN financial sanctions lists.

Market Abuse & Internal Dealing

Pursuant to the EU Market Abuse Regulation (MAR), the Board enforces strict restrictions on "Relevant Persons" trading UniCredit financial instruments. Blackout periods are systematically locked 30 calendar days prior to any public financial results announcement.

Anti-Bribery and Anti-Corruption (ABC)

A zero-tolerance threshold governs interactions with public officials. All corporate gifts, hospitality, and procurement pipelines undergo centralized compliance clearance via specialized software logs to prevent active or passive corruption.

5. Non-Financial Risk & ESG Integration

In alignment with Commission Implementing Regulation (EU) 2022/2453 on ESG disclosures, UniCredit incorporates environmental and social variables into its risk taxonomy.

- **The Equator Principles (EP):** Embedded into the *Special Credit Policy Project Finance Transactions*. All category A and B infrastructure transactions require a non-binding opinion from an internal EP Screening Tool before credit approval.
- **Sustainability Risk:** Environmental and human rights impacts are evaluated symmetrically alongside traditional corporate credit credit-worthiness metrics, restricting asset allocations in sensitive sectors (e.g., thermal coal, non-conventional oil and gas).

6. Escalation Protocol & Whistleblowing

Employees and external collaborators are legally empowered to report actions violating EU directives, Italian Legislative Decree 231/2001, or the UniCredit Code of Conduct.

1.Submission: Anonymous or Named.

The whistleblower submits a report through the encrypted corporate channel, ensuring total cryptographic privacy and protection against retaliation.

2.Triage & Classification: Within 7 Business Days.

The Head of Group Compliance reviews the input to confirm validity and assigns the file to independent investigators within the Internal Audit function.

3.Investigation: Maximum 90-Day Window.

Evidentiary review, transaction log analysis, and discrete interviews are performed. Compliance maintains a strict firewall around the identity of the source.

4.Remediation & Reporting: Board Escalation.

Findings are delivered to the Audit Committee. Remedial adjustments (disciplinary action, regulatory self-reporting, or internal control revisions) are executed immediately.